

“Savannah,” I said, “I know it looks like money comes from a machine, but that’s just where we store the money that we earn. If Mom and I don’t earn money, the bank machine won’t give us any.”

It’s a common problem. Our kids see us effortlessly extracting money from the bank machine. They watch us whip out our credit cards to purchase meals and entertainment. Why wouldn’t they think money grows on bank machines?

That day at the pizzeria, I tried to instill in my daughter two basic principles: money doesn’t just materialize—you have to work for it; and if you don’t have any, sometimes you have to borrow it, and that’s a bad thing. Rarely in life is debt good, so it was important to Linda and me that from an early age both our kids have a negative association with debt. Debt is as bad as drugs or alcohol—its longevity is like a disease. Savannah was only five years old, but when we talked to her about debt, she was old enough to understand the concept that bad things—like touching a hot stove or taking candy from strangers—should be avoided at all costs.

It’s up to you to teach your kids about money. The teachers at school aren’t going to do it, and the banks sure as hell won’t—the less financially literate your child is, the more they stand to profit. The buck stops with you, and I mean that literally. Every financial interaction with your child is an opportunity to teach by example, whether you’re buying groceries, paying bills or visiting your investment advisor. Pay with cash at the grocery store so that your children understand something left your wallet forever. Invite your son or daughter to sit at the table with a calculator while you settle the household accounts. Bring Johnny to your next portfolio review and let him see how your money is growing. Show your kids how you handle the family finances, and then open a healthy dialogue about why you made the decisions you did.

If you flew by the seat of your pants before you were a parent, getting by from paycheck to paycheck, *it is imperative that you change the pattern*. Financially illiterate children will probably grow into financially illiterate adults. There’s no need to make lessons too complex for kids. *Don’t spend too much. Mostly save. Always invest.* These are the building blocks of financial literacy. If you can teach